Outlook

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Feature timing review before validation

Morning,

I need help with something that sounds simple but probably is not.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

The questions I would ask in the room are:
1. What would we expect to see if monthly snapshots duplicate later knowledge?
2. What evidence would instead support that performance is stable after strict time-based validation?
3. How do we rule out that status or collections fields leak future outcomes?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use April 2021 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether the model can enter validation or must return to feature engineering. A useful output would be a working Excel file with the exception population and clear columns.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. One caution: Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Regards